

SOUTHERN CROSS STRATEGIC HOLDINGS PTE LIMITED

Protecting People. Securing Progress.

Kikori Development Project | Papua LNG Corridor | Gulf Province, Papua New Guinea

STANDARD OPERATING PROCEDURE

Internal Audit of Security Operations

Derived from and issued under the Audit Policy (SCSH-AQAC-AUD-001 v2.0)

Document No. SCSH-AQAC-SOP-AUD-001 Version 1.0

Effective 1 August 2026

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1. Document Control

SOP Title	Internal Audit of Security Operations — Standard Operating Procedure
Document Number	SCSH-AQAC-SOP-AUD-001
Version	1.0
Status	Approved — Controlled Document
Classification	Confidential — Internal Use Only
Effective Date	1 August 2026
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SOP Owner	Manager — Audit, Quality Assurance & Compliance (AQAC)
Approving Authority	Chief Executive Officer / Managing Director
Applies To	All AQAC personnel; all employees, contractors and subcontractors within the scope of the audit programme
Parent Policy	Audit Policy (SCSH-AQAC-AUD-001 v2.0)
Related Documents	Quality Assurance Policy (SCSH-AQAC-QA-001); Compliance Policy (SCSH-AQAC-COM-001); Zero-Tolerance Conduct, Ethics & Prohibited Behaviour Policy (SCSH-HR-GOV-001); applicable operational SOPs

Revision History

Version	Date	Summary of Change	Author
1.0	1 Aug 2026	First issue. Operationalises the Audit Policy (v2.0) into a step-by-step field procedure covering planning, execution, finding classification, reporting, corrective-action tracking and closure.	AQAC Manager

2. Purpose

This Standard Operating Procedure (SOP) translates the requirements of the Audit Policy into a repeatable, step-by-step working method for the Audit, Quality Assurance & Compliance (AQAC) Team. It defines exactly how each audit is planned, prepared, conducted, evaluated, reported, and closed out, so that every auditor works to the same standard and every finding is handled consistently and traceably.

Where the Policy states what must be assured and why, this SOP states who does what, in what order, using which tools, and to what timescale. In any conflict, the Audit Policy prevails and this SOP is corrected at the next revision.

3. Scope

This SOP governs every audit activity carried out under the audit programme across the Kikori Development Project (KDP) and the wider Papua LNG corridor to which the Company is deployed. It covers all security functions subject to audit, including:

- Static guarding, mobile and foot patrols, and access control;

- CCTV and Operations-Room (C2) monitoring;
- K9, maritime/riverine (Sea Marshal), border and lands security operations;
- Private Security Details (PSD) and Quick Response Team (QRT) tasking;
- Firearms and armoury compliance (where authorised under PNG law), and use of force;
- Asset, cargo and infrastructure protection, and vehicle/vessel serviceability;
- Incident management, community engagement and grievance handling; and
- Subcontractor performance and compliance.

No site, function, contractor or activity within the Company's security operations is exempt.

4. Definitions & Abbreviations

Term	Meaning
AQAC	Audit, Quality Assurance & Compliance Team.
Audit Criteria	The policies, SOPs, contractual requirements, standards and legal obligations against which conformity is assessed.
Auditee	The site, department, function or individual subject to audit.
Objective Evidence	Verifiable records, observations or statements of fact that support a finding.
Finding	The result of evaluating evidence against criteria; classified Critical, Major or Minor.
NCN	Non-Compliance Notice — formal record raising a Major or Critical finding for corrective action.
CAIP	Corrective Action & Improvement Plan — documented plan to close a finding, with owners and target dates.
OFR	Open-Findings Register — live record showing status and ageing of all corrective actions.
VPSHR	Voluntary Principles on Security and Human Rights.
KDP	Kikori Development Project — the Company's area of operations in the Papua LNG corridor, Gulf Province, PNG.

5. Roles & Responsibilities

The audit function operates independently of line operations. The following responsibilities apply throughout this SOP:

Role	Responsibility in the Audit Cycle
AQAC Manager	Owns the audit programme; prepares and maintains the annual risk-based plan; assigns auditors; reviews and signs off reports; reports results directly to the CEO/Managing Director; authorises escalation.

Role	Responsibility in the Audit Cycle
Internal Auditor(s)	Plans and conducts scheduled, risk-based and unannounced audits; gathers evidence; classifies findings; drafts reports; agrees CAIPs; conducts follow-up verification.
Quality Assurance Officer	Supports audits addressing SOP and service-quality performance; contributes checklists and QoS benchmarks.
Compliance Officer	Supports audits addressing policy, contractual, human-rights (VPSHR) and legal compliance; leads human-rights assurance elements.
Documentation & Reporting Officer	Maintains the audit register, working papers, evidence store, NCN/CAIP records and the Open-Findings Register; controls report distribution.
Operational / Project Managers (Auditee)	Cooperate with audits; provide access to sites, people and records; own and close corrective actions within agreed timeframes.
Executive Management	Approves the annual plan; receives reports; directs escalation and disciplinary/contractual action where required.

5.1 Independence Rules (mandatory for every step)

- No auditor may audit an activity for which they held operational responsibility within the preceding twelve (12) months.
- Any personal or operational conflict of interest must be declared to the AQAC Manager, who reassigns the auditor.
- Operational managers may provide clarification and context but cannot overrule, suppress or amend findings or ratings.
- All findings are reported directly and without filtering to Executive Management.

6. The Audit Cycle — Overview

Every audit follows the same seven-stage cycle. The procedures in Sections 7–13 detail each stage.

Stage	Procedure	Owner	Target Timing
1	Annual & quarterly planning (SOP-AUD-1)	AQAC Manager	Annual, reviewed quarterly
2	Scheduling & notification (SOP-AUD-2)	Internal Auditor	≥ 5 working days before (scheduled)
3	Pre-audit preparation (SOP-AUD-3)	Internal Auditor	Before fieldwork
4	Execution / fieldwork (SOP-AUD-4 & 5)	Internal Auditor	Per plan / any time (surprise)
5	Evaluation & classification (SOP-AUD-6)	Internal Auditor	Same day as fieldwork
6	Reporting (SOP-AUD-7) & NCN/CAIP (SOP-AUD-8)	Internal Auditor / AQAC Mgr	Report ≤ 48 hrs; CAIP ≤ 5 days
7	Follow-up, verification & closure (SOP-AUD-9)	Internal Auditor	Follow-up ≤ 14 days

SOP-AUD-1 Annual Risk-Based Audit Planning

Purpose	To ensure audit effort is allocated in proportion to assessed risk across a rolling 12-month plan.
Trigger	Annually before the effective year; reviewed each quarter.
Owner	AQAC Manager
Output	Approved Annual Risk-Based Audit Plan; quarterly revisions.

Steps

1. Compile the audit universe from Section 8.3 of the Audit Policy — every site, function and subcontractor in scope.
2. Score each area for risk using consequence × likelihood, weighting high-consequence activities (use of force, firearms/armoury, PSD, QRT, maritime operations and human-rights-sensitive community interfaces) upward.
3. Set audit frequency by risk band: high-risk areas audited more often; standard areas per the minimum frequencies in Section 8.1 of the Policy.
4. Draft the Annual Risk-Based Audit Plan (Form AUD-01) allocating auditors, months and audit types.
5. Submit the plan to Executive Management for approval before the effective date.
6. Publish the approved plan to the AQAC Team and lodge it in the audit register.
7. Each quarter, review the plan against the changing Papua LNG risk profile (movement toward FID and construction mobilisation) and re-issue with a revision note where scope changes.

SOP-AUD-2 Audit Scheduling & Notification

Purpose	To confirm scope, criteria and logistics and notify the auditee (except unannounced inspections).
Trigger	An audit falls due under the plan, or is raised for-cause.
Owner	Internal Auditor
Output	Confirmed audit schedule; Audit Notification (Form AUD-02).

Steps

1. Confirm the audit type, objective, scope and audit criteria (which policies, SOPs, contract clauses and legal obligations apply).
2. Check the auditor assigned has no conflict of interest and satisfies the 12-month independence rule; if not, notify the AQAC Manager for reassignment.
3. For scheduled audits, issue the Audit Notification to the auditee at least five (5) working days in advance, stating date, scope, criteria and access required.
4. For unannounced (surprise) inspections and most for-cause audits, DO NOT notify — proceed under SOP-AUD-5.
5. Arrange site access, safety induction, transport and any escort; confirm night-observation windows where posts must be checked after dark.

SOP-AUD-3 Pre-Audit Preparation

Purpose	To arrive fully prepared with the right criteria, history and tools.
Trigger	Completion of scheduling (SOP-AUD-2).
Owner	Internal Auditor
Output	Audit pack: checklist, sampling plan, prior findings, forms.

Steps

1. Review previous audit reports for the auditee, all open findings on the Open-Findings Register, and relevant incident, complaint and grievance records.
2. Select or tailor the audit checklist (Form AUD-03) to the criteria in scope; add function-specific items (e.g. armoury count, VPSHR use-of-force review).
3. Prepare a sampling plan — which posts, logs, rosters, licences and time periods will be examined — sized to give a fair picture without auditing everything.
4. Assemble the audit pack: checklists, sampling plan, evidence log, interview prompts, finding sheet and camera/recording device.
5. Confirm any specialist support required (Compliance Officer for human-rights elements; QA Officer for service-quality benchmarks).

SOP-AUD-4 Audit Execution (Fieldwork)

Purpose	To gather sufficient objective evidence against the criteria through observation, interview and document review.
Trigger	Arrival on site per the schedule.
Owner	Internal Auditor
Output	Completed checklist; evidence log; interview notes.

Steps

1. Hold a short opening meeting with the site supervisor: confirm scope, criteria, timing and the no-retaliation principle.
2. Conduct direct observation of posts by day and, where required, by night — verify post discipline, alertness, access control and adherence to post orders.
3. Interview guards, supervisors and managers using open, non-leading questions; record responses factually.
4. Examine records: attendance and rosters, shift-handover, patrol logs, occurrence books, incident logs, access-control records, CCTV/C2 logs, vehicle/vessel serviceability, firearms and armoury registers, and licences.
5. Cross-check documents against physical reality (e.g. armoury register against physical weapon count; roster against guards actually on post).
6. Log every item of objective evidence in the evidence log with reference, date, time and source; photograph where appropriate and lawful.
7. Note observations of good practice as well as gaps — audit is an instrument of improvement, not only fault-finding.
8. Hold a brief close-out with the supervisor to summarise preliminary observations (not final ratings) and confirm factual accuracy.

SOP-AUD-5 Unannounced (Surprise) Inspection

Purpose	To verify real-time compliance, alertness and post discipline without prior warning.
Trigger	At any time under the plan, or directed by the AQAC Manager/Executive Management.
Owner	Internal Auditor
Output	Surprise Inspection Report (Form AUD-05).

Steps

1. Do not notify the site. Confirm authorisation and, where needed, coordinate discreetly with the Operations Room for access and safety.
2. Arrive unannounced — vary timing, including night and shift-change windows where post discipline is most testable.
3. Immediately observe the live state of the post before any adjustment can be made: alertness, correct manning, access control, equipment and appearance.
4. Verify current entries in logs and registers match what is physically observed at that moment.

5. Record findings on the Surprise Inspection Report and follow SOP-AUD-6 for classification.
6. Where a Critical condition is observed (see Section 12), intervene and escalate immediately without waiting for the report.

SOP-AUD-6 Evidence Evaluation & Finding Classification

Purpose	To convert evidence into classified, root-caused findings.
Trigger	Completion of fieldwork.
Owner	Internal Auditor
Output	Classified findings with root cause and required response.

Steps

1. Compare each item of evidence against the audit criteria and identify every gap or non-conformance.
2. For each non-conformance, establish the root cause (not just the symptom) — e.g. training gap, resourcing, SOP defect, supervision, wilful breach.
3. Classify each finding as Critical, Major or Minor using the table below.
4. Determine the required response and target timing for each finding from its classification.
5. Where any finding touches human rights, use of force, firearms or community interface, apply SOP-AUD-11 in addition.

Finding Classification Matrix

Category	Definition	Required Response & Timing
CRITICAL	Immediate threat to life, safety or security of the asset, or a serious breach of law, human rights or client contractual conditions.	Immediate intervention and containment; notify Executive Management and Project Management without delay; corrective action commenced the same day.
MAJOR	Repeated breaches, systemic weakness, or an issue causing material operational disruption or reputational exposure.	Formal Non-Compliance Notice (NCN) issued; CAIP required within five (5) working days.
MINOR	Isolated deviation from an SOP or standard with limited operational impact.	Documented and corrected at site level; verified at the next scheduled review.

SOP-AUD-7 Audit Reporting

Purpose	To report findings accurately and promptly to those who must act.
Trigger	Completion of evaluation.
Owner	Internal Auditor (report) / AQAC Manager (sign-off)
Output	Audit Findings Report (Form AUD-07); register entry.

Steps

1. Draft the Audit Findings Report within forty-eight (48) hours of completing fieldwork.
2. State, for each finding: the criterion, the objective evidence, the classification, the root cause and the recommended corrective action.

3. Include an executive summary, an assurance opinion, and both non-conformances and positive observations.
4. Submit the report to the AQAC Manager for review and sign-off — findings and ratings must not be softened or filtered.
5. Distribute the signed report to the CEO/Managing Director, Operations Manager and Kikori Project Manager, and, where relevant, the HR Manager (personnel) and Training Manager (training gaps).
6. Record the report and every finding in the audit register and open each Major/Critical finding on the Open-Findings Register.

Report Suite (produced by the audit function)

- Monthly Audit Report — per site and consolidated;
- Quarterly Company-Wide Audit Report;
- Surprise Inspection Reports;
- Non-Compliance Notices (NCNs) and Corrective Action & Improvement Plans (CAIPs); and
- the Open-Findings Register showing status and ageing of all corrective actions.

SOP-AUD-8 NCN & CAIP Issuance

Purpose	To formalise Major/Critical findings and secure an owned, dated plan to fix them.
Trigger	A Major or Critical finding is confirmed.
Owner	Internal Auditor / AQAC Manager
Output	Issued NCN (Form AUD-08a) and agreed CAIP (Form AUD-08b).

Steps

1. Raise a Non-Compliance Notice for each Major and Critical finding, stating the non-conformance, evidence, classification and required correction.
2. Issue the NCN to the auditee's responsible manager and log it on the Open-Findings Register.
3. Agree a Corrective Action & Improvement Plan with the auditee: each action given a named owner and a target completion date.
4. For Critical findings, ensure corrective action is commenced the same day; for Major findings, the CAIP is required within five (5) working days.
5. Record the CAIP against the finding and set the follow-up verification date.

SOP-AUD-9 Follow-Up, Verification & Closure

Purpose	To confirm corrective actions are implemented and effective, and to close findings.
Trigger	A CAIP target date approaches, and within 14 days of the audit.
Owner	Internal Auditor
Output	Verified closure or escalation; updated Open-Findings Register.

Steps

1. Conduct a follow-up audit within fourteen (14) days to confirm closure of corrective actions.
2. Verify each action with fresh objective evidence — not merely the auditee's assurance that it is done.
3. Where the action has closed the finding effectively, mark it closed on the Open-Findings Register with the verification evidence.
4. Where the action is incomplete or ineffective, keep the finding open, record the reason, and re-set a target date.
5. Escalate any finding that remains open beyond its due date under SOP-AUD-10.
6. Feed root-cause trends and lessons learned back into the risk-based plan, SOPs and training.

SOP-AUD-10 Escalation

Purpose	To ensure unresolved or recurring non-compliance is driven to resolution at the right level.
Trigger	A finding is overdue, recurs, or is Critical.
Owner	AQAC Manager

Output

Escalation record; referral for disciplinary/contractual action where warranted.

Steps

1. Record the issue with supporting evidence and its recommended classification.
2. Report the issue formally to Executive Management.
3. Confirm the corrective measure is assigned to a responsible owner with a due date.
4. Verify through follow-up whether the corrective action has closed the finding.
5. Where non-compliance persists or recurs, refer the matter for disciplinary or contractual action in accordance with Company policy.

SOP-AUD-11 Human-Rights & VPSHR Assurance

Purpose	To provide specific assurance over conduct carrying human-rights and reputational risk.
Trigger	Any audit touching use of force, community interface, firearms, or subcontracted personnel.
Owner	Compliance Officer / Internal Auditor
Output	VPSHR assurance section within the audit report.

Steps

1. Assess compliance with the VPSHR, the IFC Performance Standards and the Equator Principles as applied to the Papua LNG project.
2. Review proportionate and lawful use of force, and verify that every use-of-force incident is accurately recorded.
3. Examine the conduct of interactions with landowners, communities and vulnerable persons.
4. Test the community grievance mechanism — that complaints are received and handled timely and fairly.
5. Verify firearms authorisation, storage and accountability under PNG law.
6. Check the human-rights screening and conduct of subcontracted security personnel.
7. Treat any credible indication of a human-rights breach as a CRITICAL finding and report it to Executive Management without delay.

SOP-AUD-12 Records, Confidentiality & Data Protection

Purpose	To keep audit records complete, secure and lawfully handled.
Trigger	Continuous, at every stage of the cycle.
Owner	Documentation & Reporting Officer
Output	Secure master file; controlled distribution.

Steps

1. Maintain a master file of audit plans, working papers, checklists, findings and reports.
2. Retain records securely in digital and hardcopy for a minimum of five (5) years, or longer where required by contract or law.
3. Classify audit evidence and reports Confidential; release only to authorised personnel on a need-to-know basis.
4. Handle personal data and CCTV material lawfully — store securely and use only for the purpose of the audit.
5. Make records available to the client and regulators on lawful request.
6. Ensure all template and SOP revisions are approved by Executive Management before use.

19. Cooperation & Non-Retaliation

All personnel must cooperate fully with audits and provide truthful, complete information. Obstructing an audit, or withholding, falsifying or attempting to influence evidence or a finding, is a serious disciplinary matter.

No employee, contractor or community member will suffer retaliation for cooperating with an audit, raising a concern in good faith, or reporting suspected non-compliance. Reports may be made through the AQAC Team or the channels in the Zero-Tolerance Conduct, Ethics & Prohibited Behaviour Policy (SCSH-HR-GOV-001), and confidentiality is protected so far as the law allows.

20. Audit Performance Indicators

The AQAC Manager monitors the effectiveness of the audit programme and reports performance to Executive Management each quarter against:

Indicator	Measure
Plan completion	Audits completed against the approved plan and schedule.
Findings profile	Number, classification and root-cause trends of findings.
Corrective-action closure	On-time closure rate and ageing of open findings.
Recurrence	Rate of previously closed findings that recur.

21. Associated Forms & Templates

Form No.	Title	Used In
AUD-01	Annual Risk-Based Audit Plan	SOP-AUD-1
AUD-02	Audit Notification	SOP-AUD-2
AUD-03	Audit Checklist (function-specific)	SOP-AUD-3, 4
AUD-04	Evidence Log & Interview Record	SOP-AUD-4
AUD-05	Surprise Inspection Report	SOP-AUD-5
AUD-06	Finding & Classification Sheet	SOP-AUD-6
AUD-07	Audit Findings Report	SOP-AUD-7
AUD-08a	Non-Compliance Notice (NCN)	SOP-AUD-8
AUD-08b	Corrective Action & Improvement Plan (CAIP)	SOP-AUD-8, 9
AUD-09	Open-Findings Register	SOP-AUD-7, 9, 10
AUD-10	Quarterly Audit Performance Report	Section 20

22. Quick-Reference: Timings at a Glance

When	What Must Happen
≥ 5 working days before	Auditee notified of a scheduled audit (SOP-AUD-2).
Same day (Critical)	Intervene, contain, notify Executive & Project Management; corrective action commenced.
Within 48 hours	Audit Findings Report prepared and submitted.
Within 5 working days (Major)	NCN issued and CAIP required.
Within 14 days	Follow-up audit to verify closure of corrective actions.
Beyond due date	Escalate under SOP-AUD-10.
Each quarter	Plan reviewed; performance reported to Executive Management.
Minimum 5 years	Audit records retained securely.

23. Authorisation

This SOP is issued under the authority of the Executive Management of Southern Cross Strategic Holdings Pte Limited and is a controlled document. It operates under and is subordinate to the Audit Policy (SCSH-AQAC-AUD-001 v2.0). Amendments are valid only when approved by the Approving Authority and re-issued through the AQAC document-control process.

Prepared By	Reviewed By	Approved By
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Manager, AQAC	Compliance Officer	CEO / Managing Director
Name: _____	Name: _____	Name: _____
Signature: _____	Signature: _____	Signature: _____
Date: _____	Date: _____	Date: _____